ICAB November-December 2022 Exam
Case Study
Model Answer:

Draft Report

To : Board of Directors, Ambient Renewable Energy Limited

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Subject : Report on Assessment of business operation, evaluation of strategic options, suggestion of investing and financing options, assisting on IPO, advising on accounting & tax issues, regulatory and secretarial matters.

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1. Executive Summary:

1.1. Evaluation of financial and non-financial performances Ambient.

Ambient has achieved a splendid performance during the year. Its revenue has increased significantly by 17.2% (BDT 72,255,000) from previous year due to introduction of new service and expansion of other business divisions. Cost of revenue has increased by BDT 60,953,000 (17.9%) from previous year matching the increase in revenue.

Ambient has enjoyed massive growth of 14.4% (increased by 11,302,000) in its current year achieving a gross profit of 89,828,000. This increase is due to significant increase in growth in revenue from previous year. Despite the impressive growth in GP margin, Ambient has performed poorly in terms of net profit. Net profit margin is only 6% (BDT 30,195,281) after considering adjustment in operating expenses.

Ambient has experienced increase in current ratio of 4.6 in 2022 from 3.6 from previous year as the company has significantly invested in its inventories & accessories. Ambient has asset turnover ratio of 1.57 which experiences no changes from 2021. However, there are still opportunity to improve efficiency in asset utilization. Ambient has been achieving organic growth by introducing new services and expanding existing business operations.

Company initially reported operating profit of BDT 33,826,000 without properly considering the year end adjustments for foreign currency valuation, government grants, interest free loan and employee benefit expenses. After adjustment operating profit arrives at BDT 33,036,350. For the purpose of simplicity WPPF expense has not been adjusted.

Analysis of the financial statement and ratio analysis shows strong financial condition of the company which it achieved organically. Company has strong current and quick ratio. TIE ratio is very high as the company is not geared. Although asset utilization ratio has increased slightly, Ambient has room for improving efficient utilization of assets to generate revenue.

As EaaS has higher gross profit margin, Ambient should give emphasis on expansion of EaaS. Company gearing is very low. Therefore, Ambient should introduce gearing in the company to enhance company profitability and return on investment. Net profit of the company is too low. Management should aim for increasing revenue and decreasing operating expenses in order to increase net profit for the company. Ambient has been performing poorly interns of asset utilization which is indicated by its asset turnover ratio of 1.57. It should try to increase its efficiency in asset utilization by generating higher revenue. Management should properly incorporate all the necessary adjustment entry at the year end.

Ambient grown its business significantly from sell of solar panel over the time by expanding business like power generation and introducing new concept like EaaS. It has moved from its initial B2B business idea to both B2B and B2C business in Equipment business. It has started its solar power plan in small scale which brough the opportunity and experience to start large scale solar power plant. This is a massive shift from its original business model.

Recommendation to the board includes:

- Maintain current strong financial position.
- Take initiative to maintain the revenue growth.
- Ambient should give emphasis on expansion of EaaS business.
- Introduce gearing in the company as the gearing ratio is very low.
- Increase efficiency in generating revenue utilizing total assets.
- Management should decrease operating expenses to increase net profit.
- Look for options to introduce new solar power plant or other alternative energy power plant.

1.2. SWOT Analysis.

With extensive experience in the field of renewable energy, Ambient's founder, Mr. Iftekhar, has been leading it to success. Ambient has been growing organically with consistent year on year growth. It has diversified its business into various business sector which has ensured steady cash flows for Ambient. In addition, with long tern power generation contract, Ambient has ensured earnings for next 20 years from power generation unit.

Ambient produce renewable energy through solar panels which is dependent on availability of sunlight. In absence of sunlight, energy production is disrupted. Furthermore, approximately 20% power are lost while converting the produced power from DC to AC via the inverters. This poses key challenges for Ambient. Ambient's business support functional departments are not cooperative to each other. This has decreased employee productivity has decreased significantly.

Growing demand for private use of renewable energy sources in residential and office buildings has created new opportunities for Ambient. Furthermore, government tax relief and subsidies will help Ambient to expand its business. With business liaison with foreign Equipment manufacturing company which would provide access to fund, resource and technology for business with renewable energy source other than solar energy which is almost greenfield. It has further opportunity to raise finance through IPO, QIO and Bank Loan.

Even though Ambient has huge business opportunities, there are some serious threats as well. Major threat to Ambient is that power generation contract after expiry of contract period might not be renewed by government. Again, due to introduction of renewable energy policy, new business has emerged which may lead to increased competition to the company. These companies may poach Ambient's employees leading to increase of hiring, training and retaining expenses. Furthermore, fluctuation of foreign currency might impact the import cost for the company.

Conclusion:

- Ambient has strong financial position and achieving consistent revenue growth year after year.
- Ambient has efficiently managed its risks by diversifying its business into different sectors and ensured steady cash inflows.
- Primary business of Ambient of to produce renewable energy through solar panels is dependent on availability of sunlight.
- Adoption of renewable energy policy led to emergence of many renewable energy companies which increased market competition.
- Business might face loss due to exchange rate fluctuations and international trade barriers, sanctions and increased duties.

Recommendation:

- Ambient should maintain its strong financial position and consistent revenue growth.
- Ambient should use technology which can utilize maximum capture of sunlight for producing energy through solar panels.
- Ambient may consider expanding business with renewable energy source other than solar energy.
- Ambient should monitor activities & business strategies of its competition and update its own.

1.3. Identification and evaluation on strategic options:

Management of Ambient is currently considering between two strategic options of setting up a solar power plant and expanding equipment manufacturing plant. Board prefers NPV approach to evaluate strategic options and determines cost of capital using CAPM model which results a discount rate of 13%. Both of the project has been evaluated considering 10 years of useful life. Project cash flows has been determined by deducting all annual expenses from annual revenue. It has been assumed that cash flows arise at the end of the year.

After evaluating the prospective options using the 13% discount rate, Net Present Value of solar power plant has been calculated at BDT 17,783,640,136 whereas equipment manufacturing plant project is expected to generate NPV of BDT 51,856,257. While calculating the NPV of solar power plant it has been assumed that power will be generated only 5 hours when sunlight will be available rather than 24 hours as management forecasted.

Recommendation to the board:

- Ambient should select the Solar power project as it will generate higher NPV. Furthermore, Solar power project will guaranty consistent revenue and cash inflow as it will have 20 years contract with government.
- Ambient should finance Solar power project on by using a source which has lower cost of capital.
- If Ambient can manage finance for the equipment manufacturing plant, it can consider it for later as the project generates positive NPV.

1.4. Justification for selecting solar power plant for execution:

Situational analysis reveals that both of the projects in hand to the board of Ambient are in strategic fit. Both the projects are beneficial for Ambient and will be contributing to its revenue and profitability. Analysis shows that Solar Power Generation project has higher NPV. Ambient can also consider taking separate plan to establish equipment manufacturing project for later investment as it too generates positive NPV.

Recommendation:

- Management should select Solar Power Plant project for implementation as it will generate higher NPV.
- Ambient might consider using new technology to utilizing maximum of sunlight.
- Management should try to find a financing option with cheaper cost of capital.

1.5. Best option for financing selected project:

Ambient board is now considering implementing the solar power plant project by financing through either by bank loan or by issuing shares through QIO. In case of bank loan cost of capital will be 12% whereas for QIO option cost of capital will be 13%. Cost of bank loan can be decreased by 2% if Ambient can obtain NOC from its existing creditors. It can further decrease cost of borrowing if it can avoid delinquent charge by repaying instalments on time.

Each financing option has certain compliance requirement and inclusion of an independent director. This incremental compliance requirements will incur cost which has been adjusted from the cash flows while comparing the outcome of the financing options.

In case of loan finance, annual net cash flow is BDT 13,136,920,000. At 12% cost of capital, Net Present value of the solar power plant project has been determined at of BDT 74,076,527,906. Whereas annual cash flow from QIO financing option is BDT 13,136,900,000. At 13% cost of capital, Net Present value of the solar power plant project has been determined at of BDT 71,134,017,919. Comparison between the outcome of the financing options shows Net Present Value is higher when project is financed by bank loan as the cost of capital is lower.

Recommendation to the board:

- Ambient should finance the solar power plant project though bank loan as NPV from bank financing is higher.
- Ambient should try to convince its existing creditors for obtaining the 'No Objection Certificate' which will reduce 2% risk premium and increase NPV even higher.
- Board should try to avoid delinquent charge by making payment on time. Management should forecast and match the payment timing with availability of the cash inflows.

1.6. Assessment four pillars of sustainability

Ambient is focusing on all four areas, human, social, economic and environmental, of sustainability. Ambient encourages employees in maintaining a safe and healthy workplace but its employees are overworked. This have led to decrease in employee productivity and deterioration of their mental health. Ambient has been creating many job opportunities and helping to address unemployment problem of the society. It is growing significantly and expanding to various business sectors which is contributing to national GDP. Ambient aims to conserve natural resources by improving efficiency, reducing wastages from solar energy generation process. It reduces usage of fossil fuel which in turn reduced carbon emission and carbon footprint. However, it requires huge amount of land and challenges to wildlife and habitat.

1.7. Recommendation to the board

- Ambient should try to improve cooperation between departments by setting clear job description. This will improve working environment and employee morale.
- It should provide proper training to its employees installing the energy equipment.
- Ambient should pay fair compensation or arrange for settlement to the local inhabitants and remove challenges to wildlife.

1.8. Assessment of ethical issues.

Ambient has failed to show ethical behaviour in several cases. Despite having clear independence threat, Ambient has been reappointing its past auditors without any increase in the audit fees. Current auditors have also been appointed having a clear independence threat. New auditor also has not obtained clearance from prior auditor.

Its solar power plant was built by forcedly acquiring land from local residents and removing them from their property without fair compensation. Furthermore, habitats, wildlife and ecology of that land has been threatened.

Ambient maintained an unhealthy working environment where employees need to work overtime regularly and perform tasks beyond normal duties. It has not provided training to its employees working in hazardous area. However, it has not been providing proper post-employment benefits to its employees as required by Labor Law, 2006.

1.9. Recommendation

- Ambient should appoint an independent following all the legal requirements.
- Management should pay overtime and employee benefits to its employees as per labour law.
- It should ensure that training has been provide to employees working in hazardous areas.
- Ambient should pay fair compensation to the residents who were removed from their own land.

2. Adjustment for reporting and compliance issues and evaluation of financial and non-financial performances of Ambient. (Requirement-a-1)

2.1. Adjustments required in the financial statements for reporting and compliances issues

1. Revaluation of foreign currency loan:

Ambient has the obligation to repay the loan which makes it a monetary item. As per IAS 21, monetary items are required to be revalued at closing rate as on the reporting date. Which means foreign currency loan needs to be revalued at year end 30 June 2022. USD 100,000 was taken at the time of purchase of procuring plant & equipment. At that time exchange rate was BDT 88/$ which has been devalued at BDT 107/$ by the year end. Hence there has been an exchange loss of (107-88) = BDT 19/$. Total exchange loss to be recognized at the year end 19 x 100,000 = 1,900,000. Following entry needs to be passed to recognize the exchange loss.

Exchange loss	Dr.	1,900,000	
Long-term borrowing	Cr.		1,900,000

Interest on loan has been ignored for calculation.

As the asset procured is not monetary item as per IAS 21, it will not be revalued at the year end. Furthermore, there is no indication that the asset is qualifying asset as per 'IAS 23 Borrowing cost' which requires capitalization of interest and related exchange loss. As plant will be recognized at procurement, transportation and installation cost and continue to measure at historical cost as per IAS 16.

2. Government Support:

Ambient received cash reward of BDT 1,000,000 from government for its contribution in generation of renewable energy. As the condition for grant has already been fulfilled, Ambient can immediately recognize the grant as income. Ambient should post following entry for award receivable.

Accounts receivables	Dr.	1,000,000	
Other income	Cr.		1,000,000

Ambient is also expecting to receive Duty Draw Back (DDB) for the duty paid on imports of machinery. DDB amounting to BDT 500,000 will be received after installation of plant & equipment and carrying out of due diligence done by National Board of Revenue. However, receipt of such DDB is conditional and not yet fulfilled. There could be situation, NRB may decline the claim for DDB after due diligence or reduce the amount. Therefore, the claim for DDB is contingent and should not be recognized until installation is complete and due diligence outcome is satisfactory to national board of revenue. No entry should be passed as before that.

3. Interest Free Loan from IDCOL:

Ambient has received interest free loan of BDT 5,000,000 which is repayable at 1,000,000 per year. In accordance with IFRS 9, this should be recognized at amortized cost. In absence of implicit interest rate, incremental borrowing rate may be considered. Ambient is planning to take bank loan which may be used to discount the loan. Considering that loan will be paid at the end of the year at 9% interest rate, present value of the loan is 3,889,650 which should be reported as loan liabilities. Differential amount of 1,110,350 will be considered as government grant.

For the first year, Ambient should have recognized an interest expense of (3,889,650 x 9%) = 350,069. As per the provided information, loan is payable at in 5 instalment and loan was taken at the beginning of the year. That means 1st loan instalment has already been paid. So, closing balance of the loan should be (3,889,650 + 350,069 - 1,000,000) = BDT 3,239,719.

As per IAS 1, the loan liabilities will be classified between non-current portion of BDT 2,531,293 (loan balance at end of year 2) and current portion at (3,239,719 - 2,531,293) BDT 708,425. Following adjustment entry should be posted to adjust the reported loan as short-term borrowings.

Short Term Borrowings	Dr.	3,291,574	
Interest Expenses	Dr.	350,069	
Long-Term Borrowing	Cr.		2,531,293
Other Income	Cr.		1,110,350

4. Employee Benefits:

As per directive issued by the Financial Reporting Council, Company's contribution to the employees shall be returned to the company if that contribution is forfeited by the employee. Assuming that the entire amount of BDT 5,000,000 reported in "Members' Forfeiture" within the Provident Fund Audit Report, entire amount should be returned to Ambient in accordance with FRC Guidance. Therefore, Ambient should pass following entry to record the receivables:

Receivables from PF Accounts	Dr.	5,000,000	
Employee benefit expenses	Cr.		5,000,000

As per the Labor Law, 2006, Employer need to provide gratuity to an employee at the rate of 150% on monthly salary/ wages if the employment period of an employee exceeds 10 years. Therefore, the issue brought to management attention for understatement of gratuity provision for employees over 15 years of service length is correct. Ambient needs to recognize the shortfall provision by posting following entry:

Gratuity Expenses	Dr	3,000,000	
Gratuity Payable	Cr.		3,000,000

As per the Income tax Ordinance, 1984, tax authority will consider the gratuity expense as allowable expense if the gratuity scheme is approved by the Tax authority. Therefore, Ambient should get its fund recognized by the tax authority which will make the gratuity expenses as allowable expense leading to decrease in taxable profit and reduced tax liabilities. Auditor suggestion is correct and Ambient should get it done.

5. Tax Disputes:

Deferred tax is recognized when there is a temporary difference between the accounting base and the tax base. Accounting base is the amount to be recognized as per Accounting Standards like IFRS whereas the tax base is the balance recognized as per the tax law. However, if there is a permanent difference between accounting and the tax base, no deferred tax is recognized.

In accounting principle, if any tax excess tax is paid, it is considered as deferred tax asset with expectation that future economic benefit will flow to the entity. However, in reality, Bangladesh tax law has concept of minimum taxation which mentions that tax deducted on various source will be considered as minimum tax regardless of the income or loss. Once a Source Deducted Tax becomes minimum tax, it becomes entity's tax liability and becomes a permanent balance. Therefore, no

deferred tax should be recognized on the permanent differences where Tax Deducted at Source become minimum tax. Therefore, Auditor conclusion is correct, and a reversal entry should be passed to derecognize deferred tax Assets and income and to recognize tax liabilities.

Ambient needs to derecognize reported deferred tax Assets and income by posting following entry:

Retained Earnings	Dr	1,863,000	
Deferred Tax income	Dr	1,166,000	
Deferred Tax assets	Cr.		3,029,000

2.2. Evaluation of financial after adjustment

Revenue:

Ambient Energy has experience revenue increase significantly by 17.2% (BDT 72,255,000) from previous year revenue of BDT 41,9682,000. Total Revenue in 2022 was increased to BDT 491,937,000. Large portion of revenue growth has been contributed by new department "Energy As A Service or EaaS" which increased by 38,029,000 (17.2%). However, most growth has been achieved in Power Generation (PG) business which outstandingly grew by 25.6%. Equipment business also grew substantially by 13.4% which shows a steady growth rate and revenue contribution.

Cost of Revenue:

Cost of Sales in 2022 was BDT 49,1937,000 which has increased by BDT 60,953,000 (17.9%) in 2022 from previous year cost of revenue of 341,156,000. Cost of sale has increased at higher rate compared to revenue growth rate despite the cost and profit from solar panels has low variability. This may be due to foreign currency exchange loss and increase in purchase cost of the solar panel. Of the total cost of Revenue, 55% (BDT 221,160,000) has been incurred by EaaS department whereas 31% incurred by (BDT 124,654,000) by Equipment business. Rest 14% (BDT 56,295,000) has been incurred by Power Generation Department. This is in line with the revenue contribution percentage. This analysis shows that despite EaaS department being relatively new, most of the revenue and cost are coming from this department.

GP and GP Margin:

Ambient achieved significant amount of gross profit in 2022. Gross profit was BDT 89,828,000 which has increased by 11,302,000 (14.4%) from prior year gross margin of 78,526,000. In 2022 GP Margin is 18% which was 19% in 2022. Although Gross profit increased 14.4% from last year but net profit margin has decreased by 1%.

Major portion of the gross profit in 2022 is contributed by EaaS service department (42%). This is also consistent in 2021 as well. Second largest contributor for Gross profit is arising from Equipment Business (34%) whereas rest 24% is coming from Power Generation department.

Net Profit Margin

Similar to exceptional sales growth and gross profit margin, Net profit of Ambient is very poor. During the year, adjusted net profit margin is 6% with net profit of BDT 30,195,281 whereas net profit margin in 2021 was 5% (22,402,000). Despite significantly low net profit margin, net profit for Ambient has increased by 34.8% to BDT 7,793,281 from previous BDT 22,402,000. This increase in profitability is due to increase in revenue.

Current and Quick Ratio

Ambient has experienced increase in current ratio of 4.6 in 2022 from 3.6 from previous year. This shows that Ambient has strong liquidity position. However, current ratio is high due to huge number of inventories and accessories. This indicates that Ambient has invested huge amount in its working capital. It has enough current asset to meet its current obligation. However, it raises a question whether the inventories include obsolete and slow-moving inventories. In that case financial statements will be misstated.

Quick ratio for Ambient also increased to 2.9 from 1.6 of previous year. This indicates that Ambient has sufficient amount of liquid asset to pay off the current liabilities even after excluding the slow cash-convertible items like inventories. It appears Ambient's working capital seems bit higher and may be sit idle in the company.

Debt to Equity and TIE Ratio

Gearing ratio for Ambient has not experienced significant change from last year. It's debt to equity ratio insignificantly increased to 0.22 in 2022 from previous 0.21 in year 2021. Finance expense has decreased from previous year which has contributed to increase in TIE ratio.

TIE ratio has increased to 23.5 in 2022 compared to 9.6 in previous year. This means Ambient was able to generate operation profit of 23.5 time of the finance expenses in 2022 whereas in 2021 net profit was only 9.6 times of the finance expenses. This shows Ambient have strong position in debt serving and increase company's gearing position.

Asset Turnover and Return on Assets

Ambient has Asset turnover ratio of 1.57 which remained constant in both 2022 and 2021. It has asset turnover ratio in the year 2022 compared to 1.50 in 2021. Although Ambient is able to generate nearly 1.5 times higher revenue than the total assets, the ratio is still very poor. This means Ambient is efficient enough to generate revenue utilizing its assets with room for improvement in asset utilization efficiency.

Return on asset is 9.6% in 2022 compared to 8.4% of 2021. Return on asset has increased significantly because of increase in operating profit. Because of these positive changes, profit for the company improved significantly which led to increase in return on asset.

Return on Equity

In 2022, return on equity has increased to 12.9% in 2022 compared to 10.9% in 2021. This massive increase is due to significantly increase in net profit for the year. This rate of return is much higher than normal market return rate.

2.3. Evaluation of non-financial performance

Ambient Renewable energy has grown its business significantly from sell of solar panel over the time by expanding business like power generation and introducing new concept like EaaS. It has moved from its initial B2B business idea to both B2B and B2C business in Equipment business. It is now selling throughout the country with help of distributors. But commercial and private households are using its solar equipment.

It has started its solar power plan in small scale which brough the opportunity and experience to start large scale solar power plant following governments target to increase energy production though renewable energy sources. This is a massive shift from its original business model.

New service line of 'Energy as a Service' or EaaS has bough a great opportunity for the users who are worried for large initial setup and replacement of solar panels after its useful life. This new service line allows users to pay for electricity they use just like regular utility bill payment to government. This enables business to be environmentally friendly without investing significant sum on equipment. Analysis of the financial statements shows that significant portion of revenue and gross profit are being contributed by EaaS. This clearly signifies that it has already well accepted by the customers.

Ambient is also experimenting with other alternative source of energy which might create a new stream of revenue in future.

2.4. Conclusion

- Revenue has increased tremendously by 17.2% (BDT 72,255,000) from previous year due to introduction of new EaaS department and increase of its demand. Furthermore, Ambient is able to diversify its business to ensure constant source of revenue.
- Cost of revenue has increased by BDT 60,953,000 (17.9%) from previous year matching the increase in revenue.
- Ambient experiences 18% gross operating margin which was 19% in earlier year. Despite the decrease in gross margin, gross profit for the yar has increased handsomely at 14.4% (increased by 11,302,000) in its gross profit due to significant increase in growth in Revenue from previous year.
- Ambient has performed poorly in terms of generating Net profit. During the year, it generated only 6% net profit after adjustment. However, current year margin is still higher than 5% margin from prior year.
- Ambient's current ratio has increase to 4.6 in 2022 from 3.6 from previous year due to increase in its working capital. For the same reason quick ration has also increased to 2.9 in current year from 1.6 in previous year.
- Asset turnover ratio has remained constant to 1.57 in both 2021 and 2022. Turnover ratio is very low which indicates that there have not been any changes in the asset utilization efficiency and there is still opportunity to improve efficiency in asset utilization.
- Ambient has been introducing new products and services which enabled it to achieve organic growth.

2.5. Recommendation

- Ambient has been maintaining strong financial position which it should aim to continue to maintain. Further, Ambient should focus on achieving revenue growth.
- Ambient started new service "Energy-as-a-Service (EaaS)" which has achieved highest gross profit. Ambient should give emphasis on expansion of EaaS business.
- Ambient has been equity driven entity. It should introduce gearing in the company as the gearing ratio is very low.
- Net profit of the company is too low. Management should decrease operating expenses to increase net profit.

- Asset turnover ratio is only 1.57. It should try to increase its efficiency in asset utilization by generating higher revenue.
- Management should properly incorporate all the necessary adjustment entry at the year end.

3. Evaluate of the Strengths, Weaknesses, Opportunities, and Threats (SWOT) of Ambient's existing business (Requirement a-ii):

3.1. SWOT Analysis:

Strengths

- Its founder Mr. Iftekhar has extensive knowledge on various sources of renewable energy like Solar power, Wind power, Tidal power, Wave energy, Waste to electric energy, Biogas, Geothermal energy etc. Therefore, using his knowledge, ambient has ability to expand and diversify its business.
- Mr. Iftekhar has worked with an NGO where he led a project supporting the adoption of national renewable energy policy in 2008. His contribution is well known in the sector.
- Ambient has consistent customer demand as it helps to reduce electricity bill and dependency of national power grid.
- Ambient has diversified to different business sectors. It has production of equipment, energy production, sale of solar panel and EaaS. It has efficiently managed its risks. Furthermore, multiple business units are able to generate steady cash flow for the company.
- As production-supply and revenue per unit is predetermined, annual revenue for next 20 years is virtually certain. This allows Ambient to forecast and plan business cash flows.
- Ambient has strong financial position which it can utilize to obtain finance for investing in new business or expanding to new business.
- Ambient has strong financial position which is reflected in its current and quick ratio.
- Ambient is able to maintain consistent growth in Revenue and profitability. It has achieved revenue growth in 17.2% in 2022.
- Ambient has established its own manufacturing plant where it produces solar panel, electronic equipment and accessories. It has strong and co-ordinated supply chain to which enables production solar panels and supply to customers for generate electricity and provide electric equipment & accessories for their daily usage.

Weakness

- Primary business of Ambient of to produce renewable energy through solar panels. However, production of solar powered electricity is dependent on availability of sunlight.
- Approximately 20% power are lost while converting the produced power from DC to AC via the inverters.

- Company has weak management review control over financial reporting process.
- Ambient's business support functional departments are not cooperative to each other as job description of these departments is not clearly documented. This may deter business growth.
- Employee productivity has decreased significantly due to overwork and unrelated department tasks.
- Shortage of working capital to fund against import price of raw materials. This might interrupt the supply chain.
- Inefficiency in recharge and design department lead to design failure causing increase of wastage in the production process.
- Energy sources contain hazardous chemicals and gases in the production phase. As operators encounter confined spaces, this might cause precautions to avoid injury.

Opportunities

- There is a growing demand for private use of renewable energy sources e.g., setting up solar panels in residential and office buildings to reduce dependency on government grid.
- Most of the companies installed these solar panels mostly to demonstrate their effort to reduce carbon footprint. So, there is raise for additional demand.
- Government provides tax relief and subsidies which would help Ambient to expand its business.
- Emergence of low-cost panel helps to increase customer demands and boost up sales.
- Ambient has launched online shop. This would create opportunities to reach customers easily.
- High potential of Energy-as-a-Service (ES) business due to increasing customer demands.
- Ambient has opportunities to expand business in other sources of renewable energy like wind power, Tidal and wave energy.
- Ambient is having discussion with a Chinese Electronic Equipment manufacturing company which would provide access to fund, resource and technology for new business.
- Business with renewable energy source other than solar energy are almost greenfield.
- New technology has emerged which helped to miniaturize the windmills which now can be constructed at building rooftop similar to installation of solar panels. This could be potential business opportunity for Ambient.
- There is huge gap between demand and supply of coal based and fossil fuel-based electricity. This has created opportunity for renewable energy-based electricity.

- Government has given the highest priority to the improvement of the energy business. Bangladesh has got a long-term credit facility of $200 million from the Asian Infrastructure Investment Bank (AIIB). This will create business and investment opportunities in this sector.

- Ambient has opportunities to export its solar panels and electronic equipment specially in African countries who are facing lack of supply or shortage of electricity.

- Opportunity to raise finance through IPO, QIO and Bank loan.

Threats

- Ambient is dependent on dealers and agents to meet most of the customer demands. Absence of dealer or agents or inefficiency would decrease sales volume.

- Power production contracts will remain valid for 20 years when government have option to renew/extend the contract. There are risks that government may not renew or extend the contracts.

- Since adoption of renewable energy policy was adopted by Bangladesh government, many company working with renewable energy sources has emerged. This has increased business competition.

- Raw materials or assembly parts for EB business are imported from China. Business might face loss due to exchange rate fluctuations and international trade barriers, sanctions and increased duties.

- Because of the sector is growing, there is a risk that trained employee of the company can start their own business copying Ambient's operation methods, technology and business strategy. This could also poach employees causing loss of strained employees and increases in recruitment and training cost.

- Unavailability of land may lead to cancellation of energy projects which require large area.

3.2. Conclusion:

- Ambient has strong financial position and achieving consistent revenue growth year after year.
- Ambient has efficiently managed its risks by diversifying its business into different sectors and ensured steady cash inflows.
- Primary business of Ambient of to produce renewable energy through solar panels. However, production of solar powered electricity is dependent on availability of sunlight.
- Shortage of working capital to import raw materials might interrupt the supply chain.
- Business might face loss due to exchange rate fluctuations and international trade barriers, sanctions and increased duties.
- There is a growing demand for private use of renewable energy sources which is big business opportunity for Ambient. Furthermore, opportunity of business with renewable energy source, other than solar energy, are almost greenfield.

- Adoption of renewable energy policy led to emergence of many renewable energy companies which increased market competition.

3.3. Recommendation:

- Ambient should maintain its strong financial position and consistent revenue growth.
- Ambient should use technology which can utilize maximum capture of sunlight for producing energy through solar panels.
- Ambient should maintain funds to ensure consisted supply of raw materials and hedge against risk of exchange loss related with import transactions.
- Ambient may consider expanding business with renewable energy source other than solar energy.
- Ambient should monitor activities & business strategies of its competition and update its own.

4. Analysis of the strategic options available to the board of directors (Requirement B-i):

Ambient's directors are currently considering between two investment options. First option is Expansion of Power Generation (PG) business by setting up a 100 MW solar power plant at Patuakhali on a turnkey basis. Other option is to expand its Equipment business by setting up an equipment manufacturing plant for LED bulb and tube, energy saving fans etc.

Board apprises investment options using a discount rate determined by CAPM model. Board has identified that risk free rate is 7% where market return is 12% from similar companies. Also, board identified that marker risk beta is 1.2. Using these information, CAPM model provides a discount rate of 13% [*e.g. 7% + 1.2(12%-7%)*] which shall be used to apprise the investment options. For the purpose of calculation, it has been assumed that cash flows arise at the end of the year except for investing outflows which occurs at the beginning of the year.

4.1. Analysis of strategic option to set up renewable energy plant (Expansion of PG Business).

In this option, Ambient will need to invest USD 1,000,000 as cost of the plant and Additional 40,000,000 for civil work, mechanical work and transportation. Exchange rate on contract signing date is BDT 110/$ which makes plant cost to 110,000,000. Total cost will be BDT 110,000,000 + BDT 40,000,000 = BDT 150,000,000.

Solar power plant is expected to generate 878,000,000 KW electricity per year which could be sold to BDT 15/ KW. Therefore, annual revenue of electricity will be 876,000,000 x 15 = 13,140,000,000.

To maximize the useful life of the machineries to 10-year, regular serving will be required which will incur cost of BDT 250,000 per month or BDT 3,000,000 per year. Therefore, net cash flows per year till the end of useful life will be 13,137,000,000. Useful life of the machines are 10 years which has been used to apprise the project. It has been assumed that there will be no terminal value at the end of 10 year.

As calculated in ***Annexure 4***, net present value of setting up solar energy plant is 71,134,560,544. As the net present value discounted at 13% provide positive cash flows, that means options to set up solar energy plant is acceptable.

Although management has forecasted annual electricity production to 876,000,000 KW (100 MW x 1000 KW x 365 Day x 24 hour) considering 24-hour production. But in reality, Solar Plants cannot produce electricity more than 3- 6 hours per day due to availability of sunlight. Considering average availability of sun light for 5 hours per day, maximum expected electricity production will be (100 MW x 1000 KW x 365 Day x 24 hour) = 219,000,000 Per year which is 25% of management forecasted electricity production. Considering the updated electricity production, NPV would be approximately 71,134,560,544 x 25% = 17,78,36,40,136.

4.2. Analysis of strategic option to set up equipment plant (Expansion of EB Business).

Alternative option for the board of director is to expand equipment business by setting up an equipment manufacturing plant for LED bulbs, tubes and energy saving fans. Setting up equipment manufacturing business will require BDT 150,000,000.

Project will generate monthly revenue of BDT 4,000,000 while incurring a maintenance expense of BDT 900,000. Net cash flow will be 3,100,000 per month which is equivalent to BDT 3,72,00,000 per Annum. Plant will have useful life of 10 years which has been considered as project life to apprise the options. It has been assumed that there will be no terminal value at the end of 10 year.

As calculated in Annexure 5, net present value of the equipment manufacturing plant project yields NPV of BDT 51,856,257. As the NPV is positive, therefore this project may be accepted.

4.3. Conclusion:

- Ambient board has decided to use CAPM model to determine the discount rate for apprising strategic options. Calculation of cost of capital using CAPM model provides 13% discount rate.
- Both of the project has 10 years of useful life and require same amount to be invested. At the end of the useful life terminal value is zero.
- Cash flows has been determined by deducting all annual expenses from annual revenue. It has been assumed that cash flows arise at the end of the year.
- In case of Solar power project, maximum hour of sunlight availability has been considered instead of 24-hour production as per management estimation.
- Net present value of Solar power project is BDT 17,783,640,136 whereas equipment manufacturing plant project is expected to generate NPV of BDT 51,856,257.

4.4. Recommendation:

- Solar power project is BDT 17,783,640,136 is much higher than NPV of equipment manufacturing plant project. Therefore, Ambient Should select and proceed to implement the solar power project.
- As the equipment manufacturing plant project generates positive NPV, Ambient may still take up the project if it can generate additional funds. This will be additional stream of revenue and cash inflow for Ambient.
- Ambient should revisit appropriateness the discount rate and the revenue and expenses estimate before implementing the project.
- Ambient should finance Solar power project on by using a source which has lower cost of capital.

5. Justification for option implantation (Requirement b-ii):

Ambient is one of the pioneers in the renewable energy sector in Bangladesh. It started with selling of solar panels and now diversified its business to many related sectors like power generation, equipment business and renting out energy producing equipment as "Energy-as-a-Service" or "EaaS".

Ambient is performing excellently in all departments of its business. it has already built a 3MW solar power plant and have experience to operate and generate power. By adopting renewable energy policy, government has put more emphasis of production of power from renewable energy source. Meanwhile, Bangladesh has got a long-term credit facility of $200 million from the Asian Infrastructure Investment Bank (AIIB). This will create business and investment opportunities in this sector. Expanding the energy production business could be a good opportunity at this moment. Ambient can use new technology which can maximize the power generation during sunlight hours.

Equipment manufacturing plant is also a good business opportunity for Ambient as there are growing demands. Ambient already is generating a good portion of revenue and profit from this business. Expanding it will also create sustainable growth for Ambient. Scaling up the equipment manufacturing business is a very good option for Ambient Management.

From the situational analysis, it appears that both of the projects in hand to the board of Ambient are in strategic fit. Both the projects are beneficial for Ambient and will be contributing to its revenue and profitability. Ambient needs to consider the NPV of these projects to make a selection. As per board decision, projects have been evaluated with CAPM model and NPV was determined. Strategic option that will yield more net present value would be selected for implementation. From the analysis it appears that Solar Power Generation project has higher NPV. Therefore, it is only logical for Ambient management to select Solar Power Plant project for implementation and set aside equipment manufacturing project for later investment based on funds availability.

5.1. Conclusion:

- Both solar power plant project and equipment manufacturing project are good fit for management's strategic position.
- Board apprises projects using NPV method after discounting at rate determined by CAPM model. Accordingly, it was calculated that discount rate would be 13% for the company.
- NPV from solar power plant project are higher comparative to the equipment manufacturing project.
- Setting up solar power plant will be a good opportunity as it at the time of government effort to expand power generation from renewable energy source.

5.2. Recommendation:

- Board should select solar power plant project as it is expected to be generate much higher NPV compared to the NPV of equipment manufacturing plant.
- Setting up the solar power plant project will bring much higher revenue and cash flows for the company.
- Ambient should seek for cheaper source of working capital to finance the solar power plant.

6. Advice on financing options (Requirement b-iii).

Ambient's board can manage finance of BDT 150,000,000 to invest in the strategic options. Board currently has two options to raise the require fund. First option is to raise the fund to bank loan and second option is to raise fund through QIO.

In case of bank loans, bank has few terms and conditions in addition to delinquent charge, commitment fee and risk premium in absence of NOC. One of the conditions is to appoint two independent directors in company board who are required to pay fees of BDT 10,000 per meeting per person for each of the quarterly board meetings. This is an additional expense which need to be adjusted from project cash flows. Furthermore, Ambient need to provide personal guaranty of the shareholders. This is an additional requirement for the loan, and this might make the borrowing process complicated. However, Ambient needs to comply them to get the loan. Ambient is planning to take the loan for 10 years.

6.1. Financing through bank:

Management has communicated with its bank which has offered loan at an interest rate of 9% per annum. Bank will further charge 1% delinquent charge over the interest rate for overdue instalments. However, management believes it should consider the delinquent charge as it has liquidity limitations.

Bank also requested a 'No Objection Certificate (NOC)' from the existing lenders to create priority charge on company assets over existing creditors. In absence of NOC to the bank, additional 2% 'risk premium' will be added on outstanding loan amount. Ambient's management believes it would not be able to provide an NOC to the bank and hence will be required to pay 2% additional interest over the loan amount. Therefore, appropriate bank borrowing rate will be 9% + 1% + 2%= 12%.

To comply with the bank requirement, Ambient will have to appoint two independent directors who will participate in quarterly meeting and will be paid BDT 10,000 per meeting. That means Ambient will have to pay (10,000 x 2 x 4) BDT 80,000 taka per year as board meeting attendance fee to these independent directors. These outflows should be adjusted with the project cash flow as these are relevant to project financing. As previously calculated, annual cash flow from solar energy plant was BDT 13,137,000,000 from which BDT 80,000 should be adjusted. Therefore, revised cash flow should be 13,136,920,000 which would be discounted at 12% interest rate.

As shown in Annexure 6, net present value of Solar Energy Plant project after financing through bank loan is 74,076,527,906. If the NPV of other financing options is below 74,076,527,906, financing though bank loan will be appropriate.

6.2. Financing through QIO:

Board is currently considering raising fund through QIO where it plans to issue shares at 50% premium i.e., 5 Taka over face value. Total issue price will be 15 taka per share subject to approval of BSEC which considers NAV, EPS and Sectoral Market PE ratio.

Following the NAV method, share price would be (Adjusted Total Asset/ Total shares outstanding = 314,294,000 / 20,000,000) = 15.71 per share. Latest EPS reported was 1.48. However, after posting the adjustment, revised EPS is 1.51. Considering the market PE ratio of 16.15, Price of Ambient's

share would be 1.51 x 16.15 = 24.39. On February 2022, Sectoral PE Ratio was 23.18. Based on sectoral PE ratio and revised EPS of Ambient, indicative share price for Ambient will be (23.18 x 1.51) = 35. Average share price of similar companies is (30+25+10+16+7)/5 = 17.6 taka. Considering share price based on NAV, EPS, Sectoral PE and average share price, it is highly likely that BSEC will approve 50% share premium. Therefore, it is likely that Ambient will be able to issue share at a price of 15 taka. Hover, as all the indicative criteria shows that Ambient could issue its share at over 20 Taka i.e., over 100% share premium.

When listed in DSE SME Platform, Ambient need to appoint independent director at the ratio of $1/5^{th}$ of its current board members. That means for every 4 dependent director there should be 1 independent director. As Ambient has already 5 directors in its board including MD, Nominee Directors, it needs to appoint 2 independent directors in its board who are required to pay 10,000 taka each for every quarterly board meeting and AGM is attended by them. In a year there would be 4 quarterly board meeting and 1 AGM. So, meeting attended fee payable to the independent directors are (5 x 10000 x 2) =100,000 per year which needs to be adjusted from annual forecasted cash flow of 13,137,000,000. Revised Cash flow will be BDT 13,136,900,000. These cash flows than need to be discounted with cost of equity shares. If fund raised though Shares, cost of equity share based on CAPM mode will be, 13% [*e.g., 7% + 1.2(12%-7%)*].

As shown in Annexure 7, net present value of Solar Energy Plant project after financing through equity shares is 71,134,017,919. NPV of cash flows financed through share is lower in comparison to NPV of cash flows from financing through loan to select best financing option.

6.3. Conclusion

From the initial evaluation of the project, board has decided to undertake project to set up 100MW solar power plant as it is expected to generate higher NPV. Ambient board is now considering options to finance the project. Board has options to finance the project either by taking bank loan or by issuing shares through QIO.

Each option requires lots of compliance which may be costly to comply with. Furthermore, in both options, Ambient needs to appoint independent director and hold board meeting per quarter. In the bank loan option, Ambient may skip the compliance requirement once loan is repaid. However, if share is issued publicly, Ambient will have to continue complying the requirement unless it delist itself from the market.

If the project is financed through bank loan, Ambient has to pay 12% interest after considering all the interest factors. With cash flows adjusted for board meeting expenses, annual cash flows from bank financed project arrives at BDT 13,136,920,000 per year for 10 years which are then discounted at 12% to calculate net present value of the cash flows. Net present value of solar power project financed by bank loan is BDT 74,076,527,906.

For the financing plan with QIO, cost of share capital has been calculated at 13% which has been used to discount the adjusted annual cash flow for board meeting expenses. It has been considered that BSEC will approve the issue of shares at 50% premium has indicative share price falls between 15.71 to 35.00 based on NAV, EPS and PE ratio. In fact, Ambient may issue its share at price much higher than 15 taka per share. If financed through QIO, adjusted annual cash flow will be BDT 13,136,900,000 which has been expected to be constant during project life of 10 years. Net present value of the cash flows financed through share capital has been calculated at BDT 71,134,017,919. This is lower in comparison to NPV of cash flows from financing through bank loan.

6.4. Recommendation

- NPV from bank financing is BDT 74,076,527,906 where has NPV from Share capital financing is BDT 71,134,017,919. As NPV from bank financing is higher, Ambient should finance the solar power plant project though bank loan.
- Ambient should review the compliance requirement and make sure no compliance requirement is unchecked and unfulfilled before obtaining the bank loan.
- Ambient should set qualifications and experience criteria in order to appoint independent directors to meeting the compliance requirement from Bank.
- Ambient should try to convince its existing creditors for obtaining the 'No Objection Certificate' which will reduce 2% risk premium and increase NPV even higher.
- Board should try to avoid delinquent charge by making payment on time. Management should forecast and match the payment timing with availability of the cash inflows.

7. Assessment four pillars of sustainability (Requirement C-i).

In order to be sustainable, an entity need to focus on four areas, Human Sustainability, Social Sustainability, Economic Sustainability and Environmental Sustainability. When all four areas become sustainable, entity achieves sustainability.

7.1. Human Sustainability:

Human sustainability focuses on maintaining and improving the human capital in society by investments in the health and education systems, access to services, nutrition, knowledge and skills.

Ambient is producing electricity using solar panels which are cleanest form of renewable energy. It helps to improve the environment and human sustainability by decreasing carbon footprint. Solar panels ambient using is made with polysilicon. Although, usage of solar panels does not pose risk to the human body, wastage from these panels manufacturing plants and polysilicon is causing harms to the employees working on the plants and the people living in the nearby areas.

Ambient's support functional departments are not cooperative to each other which has created a challenging working environment for its employees. Its employees are overworked as they are asked to perform tasks beyond their duties. Because of this, employee productivity has decreased significantly as their mental health has deteriorated.

Ambient encourages employees in maintaining a safe and healthy workplace through periodic reviews of operational procedures, safe methods of work and a safe working environment. However, it might have not provided proper training, which is common in this sector, to its employees installing the energy equipment. This puts them in physically risky condition.

Ambient has forcibly removed local inhabitants while constructing its solar power plants. This has negatively impacted the lifestyle of these people as well as their mental & financial condition.

7.2. Social Sustainability:

Social Sustainability is focused on identifying and managing business impacts, both positive and negative, on people. Social sustainability aims to preserve social capital by investing and creating services to communities and its cultures.

Ambient has helped its customer to produce its own electricity using solar panels. This has ensured availability of lights during loadshedding. People, who are living in the remote area without access to national grid, now have access to electricity because of these solar panels. Lifestyle of these people and their community will change significantly due to availability of electricity. It will enable access to entertainment and knowledge from TV and internet which can be accessed only when electricity is available.

One of the CSR activities taken by Ambient is creating awareness in school & colleges regarding use of renewable energy. It also donates solar panels to school & colleges in remote areas which doesn't have access to national grid for electricity. This creates a positive impact to the society.

Ambient has research facilities where it researches on new technology. Innovation of new technology will help to improve the lifestyle of the members of society.

Ambient maintains and improves its business practice to minimize health and safety hazards to its stakeholders. Furthermore, it complies with all applicable occupational health, safety and environment regulations and legal requirements. This shows Ambient is a compliant with legal the social norms and strengthen social sustainability.

Ambient has grown significantly over the years and expected to continue its growth. It has expanded its operation and business. By doing so, it is creating employment opportunities which helping to address the unemployment problem of the society.

7.3. Economic Sustainability:

Economic sustainability aims to maintain the financial capital and improve the standard of living. In the context of business, it refers to the efficient use of assets to maintain company profitability over time.

Primary objective of Ambient's business to maximize wealth of the company through generation of profit using the resources and funds available to it. Since its incorporation, Ambient has organically grown significantly and expanded to various business sectors by maintaining profitability over time. Trend analysis for last 5 years shows that it has increased its EPS gradually in every year. This means the company is economically sustainable.

By maintaining profitability and growth, it will continue to expand and diversify its business its over time. This will increase economic activities in the country which will eventually contribute to national GDP.

Ambient has helped its customer to produce its own electricity using solar panels. This helped them to reduce dependency of national grid and electricity bill paid to the distribution companies.

Ambient is currently discussing business alliance with a Chinese company. It can lead to joint venture in new or existing business. Which will lead to inflow of foreign investment to the country leading to expansion of national economy.

7.4. Environmental Sustainability:

Environmental sustainability aims to improve human welfare through the protection of natural capital (e.g., land, air, water, minerals etc.). Initiatives and programs are defined environmentally sustainable when they ensure that the needs of the population are met without the risk of compromising the needs of future generations.

Ambient helps to reduce usage of fossil fuel which in turn reduced carbon emission and carbon footprint. Its environmental and safety policy aims to conserve natural resources by improving efficiency, reducing wastages in its process and promoting usage of solar energy.

Harnessing power from the wind and Sun are one of the cleanest and most sustainable ways to generate electricity as it produces no toxic pollution or global warming emissions. However, these technologies require huge amount of land and challenges to wildlife and habitat. Furthermore, use of land reduces area for agricultural production and contributes to food scarcity.

7.5. Conclusion

Ambient's business practice is focusing on all four areas, human, social, economic and environmental, of sustainability. As part of human sustainability, Ambient encourages employees in maintaining a safe and healthy workplace through periodic reviews of operational procedures, safe methods of work and a safe working environment. It produces electricity without generating any carbon which is good for human health. However, its employees are overworked which have led to decrease in employee productivity and deterioration of their mental health.

Social Sustainability is about identifying and managing business impacts, both positive and negative, on people. As part of social responsibility, Ambient has enabled access to electricity to societies in the remote area and improved their lifestyle. It has been creating many job opportunities and helping to address unemployment problem of the society.

Economic sustainability aims to maintain the capital intact. Ambient has organically grown significantly and expanded to various business sectors by maintaining profitability over time. This has increased various economic activities and contributed to national GDP. Furthermore, prospective joint venture with Chinese company will lead to inflow of foreign investment to the country leading to expansion of national economy.

Environmental sustainability aims to improve human welfare through the protection of natural resources. Ambient aims to conserve natural resources by improving efficiency, reducing wastages from solar energy generation process. It reduces usage of fossil fuel which in turn reduced carbon emission and carbon footprint. However, it requires huge amount of land and challenges to wildlife and habitat.

7.6. Recommendation

- Ambient should continue to follow its health safety policy and policy of conserving natural resources by improving efficiency, reducing wastages from solar energy generation process.
- Ambient should try to improve cooperation between departments by setting clear job description. This will improve working environment and employee morale.
- It should provide proper training to its employees installing the energy equipment.
- Ambient should pay fair compensation or arrange for settlement to the local inhabitants who were removed from their residence while constructing the solar power plant.
- Ambient should try remove challenges to wildlife and habitat.

8. Assessment of ethical issues in Ambient's business operation (Requirement C-ii).

8.1. Ethical issues:

Ambient is currently in process of appointing its auditor for the year ended 30 June 2023. Its previous auditor AIC has been auditing the financial statements with fees unchanged for 5 years even through business has expanded significantly over last 5 years. This indicates that the auditor might have not performed his duty properly. Furthermore, Partner of AIC was familiar with the founder of Ambient for long time. This poses a risk to independence due to long association between auditor and auditee.

Managing director of Ambient has been authorized by the board to appoint auditor. He has used his authority to appoint his cousin and his firm ABC as auditor of the company. This has arisen an independence threat as the auditor and the member of management are closely related. ABC has violated professional conduct by accepting the engagement despite having a clear independence threat. Furthermore, they have not charged appropriate audit fees. In addition, ABC has accepted the engagement without taking professional clearance from previous auditors AIC. This illustrates unethical practice from both Ambient and its auditors.

Review of the financial statements has shown that Ambient has missed several adjustment entries in the financial statements. These adjustments may be intentionally missed out by management to understate profitability and avoid taxation.

Although Ambient encourages employees in maintaining a safe and healthy workplace, they have not provided proper training to its employees who are working on the field and installing solar equipment. Furthermore, it has not properly explained job responsibility to its employees and makes them to overwork by asking to perform tasks beyond their duties. Moreover, these employees are not paid employment benefits properly as per the Labor Law, 2006.

Renewable energy projects like solar power plant requires huge portion of land and create challenges to habitats, wildlife and ecology of that land. In order to ensure availability of land, Ambient has forcedly removed local residences but have not properly compensated for such removal.

8.2. Conclusion

Ambient has been trying to conduct its business in ethical way. However, it has failed to show ethical behaviour in several cases. Despite having clear independence threat, Ambient has been reappointing its past auditors without any increase in the audit fees.

Current auditors have also been appointed having a clear independence threat. For the same reason, the new auditor is not performing its duties in ethical manner and accepted engagement without obtaining professional clearance from previous auditor. This might lead to intentionally ignoring financial transaction to misstate financial statements to avoid taxation.

It has intentionally created a bad working environment by making its employees over work and performing tasks beyond normal duties. Even after that it is not providing proper post-employment benefits to its employees.

Ambient has set up its existing solar power plant by forcedly removing local residences without properly compensation. As the plant has been built on huge portion of land, it has created challenges to habitats, wildlife and ecology of that land.

8.3. Recommendation

- Ambient should remove ABC as auditor and appoint an independent following all the legal requirements.
- Management should pay overtime and employee benefits to its employees as per labour law.
- It should ensure that training has been provide to employees working in hazardous areas.
- It should define job responsibilities of its employees and avoid makes them to overwork.
- In case employees need to work overtime, it should ensure that employees are well compensated as per the labor law.
- Ambient should pay fair compensation to the residents who were removed from their own land.
- It should try to avoid creating threat to wildlife and ecology of the plant area.
- It should follow accounting and reporting standards to properly present and report the financial statements.

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9. Appendices:

Ambient Renewable Energy Limited

Statement of Profit or Loss and Other Comprehensive Income

For the year ended 30 June 2022

Appendix 1: Analysis of Adjusted Statement of Profit & Loss

	30-Jun-22	Adjustment	Adjusted 30-06-2022	30-Jun-21	Change
Sales	491,937,000	-	491,937,000	419,682,000	72,255,000
Less: Cost of Sales	(402,109,000)	-	(402,109,000)	(341,156,000)	(60,953,000)
Gross Profit	**89,828,000**	**-**	**89,828,000**	**78,526,000**	**11,302,000**
Less: Operative expenses	(56,002,000)	2,210,350	(53,791,650)	(51,249,000)	(2,542,650)
Net operating profit	**33,826,000**	**2,210,350**	**36,036,350**	**27,277,000**	**8,759,350**
Less: Finance Charges	(1,185,000)	(350,069)	(1,535,069)	(2,844,000)	1,308,931
Profit before WPPF & Tax	**32,641,000**	**1,860,281**	**34,501,281**	**24,433,000**	**10,068,281**
Less: Provision for WPPF	(573,000)	-	(573,000)	(318,000)	(255,000)
Profit before Tax	**32,068,000**	**1,860,281**	**33,928,281**	**24,115,000**	**9,813,281**
Less: Current Tax Expenses	(3,733,000)	-	(3,733,000)	(3,576,000)	(157,000)
Deferred Tax income	1,166,000	(1,166,000)	-	1,863,000	(1,863,000)
Profit for the year	**29,501,000**	**694,281**	**30,195,281**	**22,402,000**	**7,793,281**
Other Comprehensive Income	-	-	-	-	-
	29,501,000	**694,281**	**30,195,281**	**22,402,000**	**7,793,281**

Ambient Renewable Energy Limited

Statement of Financial Position

As at 30 June 2022

Appendix 2: Adjusted Balance Sheet

	30-Jun-22	Adjustment	Adjusted 30-06-2022	30-Jun-21	Change	Change %
Assets						
Non-current Assets						
Property, Plant & Equipment	152,080,000	-	152,080,000	158,693,000	(6,613,000)	-4.2%
Right of use assets	29,758,000		29,758,000	33,064,000	(3,306,000)	-10.0%
Investments	4,028,000		4,028,000	4,028,000	-	0.0%
Deferred tax assets	3,029,000	(3,029,000)	-	1,863,000	(1,863,000)	-100.0%
	188,895,000	**(3,029,000)**	**185,866,000**	**197,648,000**	**(6,613,000)**	**-3.3%**
Current Assets						
Equipment, Spares & Accessories	40,871,000	-	40,871,000	38,198,000	2,673,000	7.0%
Inventories	5,885,000		5,885,000	1,653,000	4,232,000	256.0%
Trade & Other receivables	40,465,000	6,000,000	46,465,000	6,824,000	39,641,000	580.9%
Advance, Deposits & Pre-payments	24,179,000	-	24,179,000	18,821,000	5,358,000	28.5%
Cash & Cash Equivalents	11,028,000	-	11,028,000	4,218,000	6,810,000	161.5%
	122,428,000	**6,000,000**	**128,428,000**	**69,714,000**	**58,714,000**	**84.2%**
	311,323,000	**2,971,000**	**314,294,000**	**267,362,000**	**52,101,000**	**19.5%**
Equity & Liabilities						
Shareholders' Equity						
Share Capital	200,000,000	-	200,000,000	200,000,000	-	-
Retained Earnings	34,661,000	(1,168,719)	33,492,281	5,160,000	28,332,281	549.1%
	234,661,000	**(1,168,719)**	**233,492,281**	**205,160,000**	**28,332,281**	**549.1%**
Non-Current Liabilities						
Long term borrowings	10,181,000	4,431,293	14,612,293	6,619,000	7,993,293	120.8%
Lease liabilities	15,481,000	-	15,481,000	19,314,000	(3,833,000)	-19.8%
Gratuity obligation	17,778,000	3,000,000	20,778,000	16,907,000	3,871,000	22.9%
	43,440,000	**7,431,293**	**50,871,293**	**42,840,000**	**8,031,293**	**123.8%**
Current Liabilities						
Short Term Borrowings	2,467,000	(3,291,574)	(824,574)	5,670,000	(6,494,574)	-114.5%
Trade and other Payables	13,042,000	-	13,042,000	6,035,000	7,007,000	116.1%
Provisions and other liabilities	10,405,000	-	10,405,000	1,593,000	8,812,000	553.2%
Income tax payables	7,308,000	-	7,308,000	6,064,000	1,244,000	20.5%
	33,222,000	**(3,291,574)**	**29,930,426**	**19,362,000**	**10,568,426**	**575.2%**
	311,323,000	**2,971,000**	**314,294,000**	**267,362,000**	**46,932,000**	**1248.1%**

Appendix 3: Ratio Analysis:

		30-Jun-22	30-Jun-21
1	Current Ratio	4.3	3.6
2	Quick Ratio	2.9	1.6
3	Debt to equity ratio	0.22	0.21
4	Asset Turnover Ratio	1.57	1.57
5	TIE Ratio	23.5	9.6
6	Return on Asset	9.6%	8.4%
7	Return on Equity	12.9%	10.9%

Annexure 4: Analysis of the strategic options of setting up Solar energy plant.

Discount rate derived = 13%.

Year	Source/use of cash	Amount	Discount Rate	Present Value
0	Initial investment	(150,000,000)	1.0000	(150,000,000)
1	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.8850	11,625,663,717
2	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.7831	10,288,197,979
3	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.6931	9,104,599,982
4	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.6133	8,057,168,126
5	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.5428	7,130,237,279
6	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.4803	6,309,944,495
7	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.4251	5,584,021,677
8	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.3762	4,941,612,103
9	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.3329	4,373,108,056
10	Net Annual Cash inflow from Solar Energy	13,137,000,000	0.2946	3,870,007,129
Total		**131,220,000,000**		**71,134,560,544**

Annexure 5: Analysis of the strategic options of expanding Equipment Business.

Discount rate derived = 13%.

Year	Source/use of cash	Amount	Discount Rate	Present Value
0	Initial investment	(150,000,000)	1.00	(150,000,000)
1	Net Annual Cash flow from EB	37,200,000	0.88	32,920,354
2	Net Annual Cash flow from EB	37,200,000	0.78	29,133,057
3	Net Annual Cash flow from EB	37,200,000	0.69	25,781,466
4	Net Annual Cash flow from EB	37,200,000	0.61	22,815,457
5	Net Annual Cash flow from EB	37,200,000	0.54	20,190,670
6	Net Annual Cash flow from EB	37,200,000	0.48	17,867,849
7	Net Annual Cash flow from EB	37,200,000	0.43	15,812,256
8	Net Annual Cash flow from EB	37,200,000	0.38	13,993,147
9	Net Annual Cash flow from EB	37,200,000	0.33	12,383,316
10	Net Annual Cash flow from EB	37,200,000	0.29	10,958,687
Total		**222,000,000**		**51,856,257**

Annexure 6: Analysis of the strategic options of setting up Solar Energy Plant financed by loan.

Discount rate derived = 12%.

Year	Source/use of cash	Amount	Discount Rate	Present Value
0	Initial investment	(150,000,000)	1.00	(150,000,000)
1	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.89	11,729,392,857
2	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.80	10,472,672,194
3	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.71	9,350,600,173
4	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.64	8,348,750,155
5	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.57	7,454,241,209
6	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.51	6,655,572,508
7	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.45	5,942,475,454
8	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.40	5,305,781,655
9	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.36	4,737,305,049
10	Net Annual Cash inflow from Solar Energy	13,136,920,000	0.32	4,229,736,651
	Total	**131,219,200,000**		**74,076,527,906**

Annexure 7: Analysis of the strategic options of setting up Solar Energy plant financed by shares.

Discount rate derived = 13%.

Year	Source/use of cash	Amount	Discount Rate	Present Value
0	Initial investment	(150,000,000)	1.00	(150,000,000)
1	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.88	11,625,575,221
2	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.78	10,288,119,665
3	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.69	9,104,530,677
4	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.61	8,057,106,794
5	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.54	7,130,183,003
6	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.48	6,309,896,463
7	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.43	5,583,979,171
8	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.38	4,941,574,487
9	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.33	4,373,074,768
10	Net Annual Cash inflow from Solar Energy	13,136,900,000	0.29	3,869,977,670
	Total	**131,219,000,000**		**71,134,017,919**

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